Module 1
Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Bank account

Mar 2022	HK$	Mar 2022	HK$
Trade payables – cheque dishonoured by suppliers' bank[3]	45,000	Balance b/f	11,560
		Error: Electricity charge had not been recorded[2]	3,500
Error: Credit balance overstated[7]	1,200	Error: Payment entered in the wrong side with wrong amount[5] (3,200 + 2,300)	5,500
		Adjusted balance c/f	25,640
	46,200		46,200

Answer 1(b)

WE Beauty Company
Bank reconciliation statement as at 31 March 2022

		HK$
Balance as per bank statement*		15,740
Add:	Deposit in transit[1]	8,800
	Bank error: Payment wrongly recorded into WE's bank account[6]	9,000
		33,540
Less:	Unpresented cheque[4]	(7,900)
Balance as per adjusted cash book balance		25,640

*Balancing figure.

Answer 2(a)

Marvel Limited
Statement of profit or loss and other comprehensive income
For the year ended 31 March 2022

		HK$	HK$	HK$
Sales				8,560,000
Less:	Cost of sales			
	Opening inventory		632,100	
	Purchases	3,457,000		
	Less: Returns outwards	(123,000)	3,334,000	
	Carriage inwards		334,000	
			4,300,100	
	Less: Closing inventory		(777,000)	(3,523,100)
Gross profit				5,036,900
Add:	**Other income**			
	Reversal of impairment loss on trade receivables (50,000 – 20,000)			30,000
				5,066,900
Less:	**Expenses**			
	Carriage outwards		245,000	
	Rent and rates (664,000 – 90,000 / 3)		634,000	
	Utilities		480,000	
	Selling and distribution costs (389,000 – 30,000)		359,000	
	Salaries (732,000 + 60,000)		792,000	
	Entertainment expenses (222,000 + 30,000)		252,000	
	Interest expenses (3,000,000 x 3%)		90,000	
	Depreciation on building (10,400,000 / 40)		260,000	
	Depreciation on furniture and equipment ((7,500,000 – 2,400,000) x 10%)		510,000	(3,622,000)
Profit before tax				1,444,900
Less: Taxation				(220,000)
Profit for the year				1,224,900
Other comprehensive income:				
Revaluation surplus on building (9,600,000 – (10,400,000 – 2,080,000 – 260,000))				1,540,000
Other comprehensive income for the year				1,540,000
Total comprehensive income for the year				2,764,900

Answer 2(b)

Marvel Limited
Statement of financial position as at 31 March 2022

ASSETS	Cost/ Valuation HK$	Accumulated depreciation HK$	Carrying amount HK$
Non-current assets			
Building	9,600,000	-	9,600,000
Furniture and equipment	7,500,000	# 2,910,000	4,590,000
			14,190,000
Current assets			
Inventory		777,000	
Trade receivables	889,000		
Less: Allowance for impairment loss on trade receivables	(20,000)	869,000	
Prepayment (90,000 / 3)		30,000	
Cash at bank		438,200	2,114,200
Total assets			16,304,200
EQUITY AND LIABILITIES			
Equity			
Ordinary share capital			5,000,000
Revaluation reserve (2,000,000 + 1,540,000)			3,540,000
General reserve (1,000,000 + 800,000)			1,800,000
Retained earnings (1,894,400 + 1,224,900 – 500,000 – 800,000)			1,819,300
Total equity			12,159,300
Non-current liabilities			
3% Bank loan			3,000,000
Current liabilities			
Trade payables		774,900	
Tax payable		220,000	
Interest payable (3,000,000 x 3%)		90,000	
Accruals		60,000	1,144,900
Total liabilities			4,144,900
Total equity and liabilities			16,304,200

2,400,000 + 510,000

Answer 3(a)

	Dr. HK$	Cr. HK$
1 October 2021		
Furniture (200,000 + 15,000 + 10,000 + 1,000)	226,000	
Warranty expense	2,000	
Cash		114,000
4% Bank loan		114,000
Being acquisition of furniture and payment of warranty expense by ways of cash and bank loan on 1 October 2021.		
31 March 2022		
Bank loan interest (114,000 x 4% / 2)	2,280	
Interest payable		2,280
Being half-year bank loan interest payable for the year ended 31 March 2022.		
Depreciation (4,200,000 x 10% + 226,000 x 10% / 2)	431,300	
Accumulated depreciation		431,300
Being depreciation expense for the year ended 31 March 2022.		
Cash	50,000	
Accumulated depreciation (100,000 x 10% x 4)	40,000	
Loss on disposal	10,000	
Furniture		100,000
Being disposal of furniture at loss on 31 March 2022.		

Answer 3(b)

			HK$
Inventory as at 31 March 2022 before adjustment			424,000
Add:	Inventory Item No. "AK223" (W1)		54,000
	Goods delivered to customers on 2 April 2022		
	Invoiced amount	60,000	
	Less: Profit margin (60,000 x 20 / 120)	(10,000)	50,000
			528,000
Less:	Goods received from suppliers on 1 April 2022		(40,000)
Adjusted inventory as at 31 March 2022			488,000

Workings:

(W1)

	Inventory balance		
	Number of units in inventory	Average unit cost	Total value
	(a)	(b) = (c) / (a)	(c)
		HK$	HK$
Balance b/f	700	300	210,000
Sales (600 units)	100	300	30,000
Purchases (400 units @ 250)	500	260	130,000*
Purchases (500 units @ 280)	1,000	270	270,000**
Sales (800 units)	200	270	54,000

*130,000 = 30,000 + 400 x 250

**270,000 = 130,000 + 500 x 280

Answer 4

(1) It is not appropriate as the accounting treatment violated both the concept of consistency and the enhancing qualitative characteristic of comparability.

Under both consistency and comparability, the same treatment should be adhered to and followed for similar accounting items within the same accounting period and from one period to the next. This is to facilitate the comparability of financial information from one period to another.

Therefore, the company should not use different depreciation methods on the same accounting item. It should depreciate all motor vehicles using the same depreciation method, i.e. the reducing balance method.

(2) It is appropriate to make a provision under the accrual concept.

Under the accrual basis accounting, revenues and expenses are recognised in the statement of profit or loss and other comprehensive income when they arise, but not when cash is received or paid.

Therefore, as the legal case had already been finalised by the year ended 31 March 2022, it is appropriate to record the provision for legal claim as expense.

However, the estimation was not appropriate as it violated the enhancing qualitative characteristic of verifiability.

Under verifiability, all information should be verifiable and supported by appropriate means such as source documents or any independent parties for giving assurance that the information faithfully represents a transaction.

Therefore, the company should not provide the legal claim based on the estimation made by the accountant. Instead, an independent legal advice should be obtained and the amount should be estimated by a professional independent lawyer.

* * * END OF EXAMINATION PAPER * * *